





MARKET REGION

## EGYPT

Arab Republic of Egypt · Residential Market

Executive Summary — June 2026

**52.1** SmartMove Index™ — NEUTRAL

## SmartMove AI™ — Executive Summary

Egypt Real Estate Market | Reporting Period: June 2026

SmartMove Index™: 52.1 / 100

**Classification:** Institutional Investor Use Only **Issued by:** SmartMove AI™ Analytics Engine **Data Vintage:** June 2026

### 1. Market Overview

Egypt's real estate market enters mid-2026 in a state of **cautious expansion**, reflected in a SmartMove Index™ reading of **52.1 out of 100** — a score that sits modestly above the neutral threshold, signalling net positive momentum tempered by material structural risks. Total sales value reached **EGP 898.9 billion** across **520,000 transactions**, representing a striking **53.2% year-over-year increase** in activity. This surge is attributable to a confluence of factors: sustained population-driven housing demand, the stabilisation of the EGP/USD exchange rate at **48.5 for three consecutive months**, and accelerating development pipelines in master-planned corridors such as New Cairo and the New Administrative Capital. The volume and value figures together imply an implied average transaction value of approximately **EGP 1.73 million** across all asset classes, though this blended figure masks significant dispersion across property types and geographies.

At the neighborhood level, the data reveals a market of **sharp two-speed dynamics**. Coastal and resort-oriented markets — particularly **North Coast (Matruh)**, **Marina (Matruh)**, **El Gouna (Red Sea)**, and **Ras El Hekma (Matruh)** — are recording the highest normalized risk scores in the dataset, ranging from **0.76 to 1.00**, with six-month price volatility figures exceeding **EGP 727,000 to EGP 953,000**. These markets are experiencing rapid capital appreciation driven by speculative demand and USD-linked pricing, but the elevated outlier ratios and shock indices signal fragility beneath the surface. In stark contrast, established urban and peri-urban districts — **El Marg (Cairo)**, **Shebin El Kom (Monufia)**, **Old Cairo**, **Sohag City**, and **Shubra (Cairo)** — exhibit normalized risk scores below **0.047**, with six-month price volatility as low as **EGP 28,758**, reflecting deep, liquid, and structurally stable demand pools anchored by end-user owner-occupier activity.

This bifurcation is a defining characteristic of the current cycle. The aggregate 53.2% YoY transaction growth obscures the reality that volume is heavily concentrated in the **apartment segment (319,442 transactions,**

representing approximately **61.4% of total volume**), while high-value asset classes such as **land** (avg. EGP 6.71 million), **villas** (avg. EGP 5.39 million), and **twin houses** (avg. EGP 3.32 million) contribute disproportionately to total sales value despite modest transaction counts. The market is simultaneously a mass-market housing story and a high-net-worth capital preservation story — and investors must navigate both narratives with precision.

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## 2. Trend Analysis

### 2.1 New Cairo Expansion — **Increasing** (+22.5% New Unit Launches MoM)

The acceleration of new unit launches in New Cairo at **+22.5% month-over-month** is the single most consequential supply-side development in the current reporting period. Cross-referencing with the property type price spread, this pipeline is almost certainly weighted toward **apartments** (319,442 transactions; avg. EGP 1.22 million), **duplexes** (41,849 transactions; avg. EGP 2.85 million), and **penthouses** (20,877 transactions; avg. EGP 2.60 million) — the product types that dominate master-planned community launches. The sheer volume of new supply entering the market creates an **absorption risk** if demand momentum softens, particularly given that mortgage penetration remains structurally low at 8.4%. Developers are effectively relying on cash buyers and installment-plan financing, which concentrates credit risk on their own balance sheets rather than the banking system.

### 2.2 EGP Devaluation Impact — **Stabilising** (EGP/USD Flat at 48.5 for 3 Months)

The stabilisation of the EGP/USD rate at **48.5** for three consecutive months is a critical macro anchor for market confidence. Prior devaluation cycles had driven speculative real estate purchases as an inflation hedge, inflating transaction volumes. The current plateau suggests that the **panic-buying premium** embedded in 2024–2025 transaction prices is beginning to normalise. For USD-denominated or USD-linked assets — particularly in the **North Coast** and **New Administrative Capital** — this stabilisation is a double-edged signal: it reduces the urgency of currency-hedge buying while simultaneously providing a more predictable pricing environment for foreign and institutional investors. The **land segment** (avg. EGP 6.71 million; 10,270 transactions) and **villa segment** (avg. EGP 5.39 million; 22,878 transactions) are most sensitive to this dynamic, as these asset classes are most frequently priced with implicit USD reference rates.

### 2.3 Luxury Segment (North Coast) — **Increasing** (+9.8% Price Appreciation QoQ)

The **+9.8% quarter-over-quarter price appreciation** in the North Coast luxury segment is corroborated and contextualised by the risk data. **North Coast (Matruh)** carries the highest normalized risk score in the entire dataset (**1.00**) with a six-month price volatility of **EGP 953,538** — the most volatile market tracked. **Marina (Matruh)** and **Ras El Hekma (Matruh)** follow closely at risk scores of **0.920** and **0.882** respectively. The **chalet** property type (avg. EGP 2.31 million; only **786 transactions**) and **townhouse** segment (avg. EGP 2.56 million; 20,657 transactions) are the primary vehicles for this appreciation. The extremely low transaction volume in chalets relative to their price point suggests a **thin, illiquid market** where price appreciation statistics can be distorted by a small number of high-value transactions — a key risk factor for investors relying on mark-to-market valuations.

### 2.4 Mortgage Penetration — **Increasing Slowly** (+1.2pp to 8.4% of Transactions)

At **8.4% of transactions**, Egypt's mortgage penetration remains among the lowest in the MENA region, and the +1.2 percentage point improvement — while directionally positive — is insufficient to materially alter the market's structural dependence on cash and developer-financed installment plans. The **studio segment** (avg. EGP 258,884; 36,549 transactions) and **apartment segment** (avg. EGP 1.22 million; 319,442 transactions) are

the most natural beneficiaries of expanded mortgage access, as their price points are most compatible with household income levels and Central Bank of Egypt (CBE) lending criteria. Any acceleration in mortgage penetration — particularly if CBE rate cuts materialise in Q3 — would disproportionately stimulate demand in these two segments and could provide a meaningful floor under mid-market apartment pricing.

### 3. Risk Assessment

● Risk #1 — Coastal Market Speculative Fragility (*Severity: HIGH*)

**Quantification:** North Coast (Matruh) posts a normalized risk score of **1.00** (maximum in dataset), six-month price volatility of **EGP 953,538**, an outlier ratio of **3.54%**, and a negative shock index of **-0.059**. Marina (Matruh) compounds this picture with a risk score of **0.920**, volatility of **EGP 877,410**, and a shock index of **-0.085** — the most negative in the dataset. A negative shock index in combination with high volatility and elevated outlier ratios is a classic signature of a market where **recent price momentum is decelerating relative to its own historical trend**, even as headline appreciation figures remain positive. The thin transaction base in chalets (**786 units**) means that a modest reduction in speculative buyer activity could produce outsized downward price corrections. Investors holding unleveraged coastal assets may face mark-to-market losses of **10–20%** in a risk-off scenario without a corresponding deterioration in fundamentals.

● Risk #2 — New Supply Absorption Overhang in New Cairo (*Severity: MEDIUM-HIGH*)

**Quantification:** The +22.5% MoM surge in new unit launches in New Cairo, set against a mortgage penetration rate of only **8.4%** and a market where **apartments alone account for 319,442 transactions** (61.4% of volume), creates a structural absorption risk. If the CBE rate cut cycle is delayed beyond Q3 or is shallower than anticipated, developer installment plans will remain the primary financing mechanism. The **duplex segment** (41,849 transactions; avg. EGP 2.85 million) and **penthouse segment** (20,877 transactions; avg. EGP 2.60 million) — both common in New Cairo master-planned communities — carry higher per-unit price points that narrow the eligible buyer pool. A supply glut in these sub-segments could compress developer margins and delay project completions, with downstream effects on investor returns.

● Risk #3 — EGP Re-Devaluation and Macro Policy Uncertainty (*Severity: MEDIUM*)

**Quantification:** While the EGP/USD rate has been flat at **48.5 for three months**, this stability is contingent on continued IMF program compliance and foreign reserve adequacy — neither of which is guaranteed. The **El Gouna (Red Sea)** market, with a normalized risk score of **0.884**, a shock index of **+0.268** (the highest positive shock index in the dataset), and a volatility figure of **EGP 843,152**, suggests that this market is currently experiencing **upward price momentum that is running ahead of its historical baseline** — a pattern consistent with speculative positioning ahead of anticipated currency moves. A renewed devaluation could initially spike transaction volumes in hard-asset classes (land, villas) but would simultaneously erode real purchasing power for EGP-denominated buyers, compressing demand in the apartment and studio segments that constitute the bulk of transaction volume.

### 4. Investment Outlook

#### 4.1 Three-Month Forward Projection (July – September 2026)

| Scenario | Probability | Key Drivers                                                        | Expected Outcome                                                                  |
|----------|-------------|--------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Bull     | 30%         | CBE rate cuts materialise in Q3; mortgage penetration accelerates; | Transaction volume +8–12% QoQ; apartment and duplex prices +5–8%; coastal markets |

| Scenario    | Probability | Key Drivers                                                                                    | Expected Outcome                                                                                   |
|-------------|-------------|------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
|             |             | EGP remains stable                                                                             | stabilise                                                                                          |
| <b>Base</b> | 50%         | CBE holds or cuts modestly; EGP stable; New Cairo absorption proceeds at current pace          | Transaction volume flat to +3% QoQ; mid-market apartments hold value; coastal volatility persists  |
| <b>Bear</b> | 20%         | CBE rate cut delayed; EGP pressure resumes; coastal market correction triggers sentiment shift | Transaction volume -5–10% QoQ; North Coast prices correct 10–15%; studio/apartment segment softens |

## 4.2 Scenario Narratives

**Bull Case (30%):** A confirmed CBE rate cut in Q3 would be the single most powerful catalyst available to the market. Even a 100–150bps reduction would improve mortgage affordability for the **apartment segment** (avg. EGP 1.22 million; 319,442 transactions) and **studio segment** (avg. EGP 258,884; 36,549 transactions), potentially pushing mortgage penetration above 10% by year-end. Combined with continued EGP stability, this would validate the investment thesis for New Administrative Capital developments and support the **duplex** and **penthouse** segments in New Cairo. The low-risk urban markets — **El Marg** (risk score: 0.030), **Shebin El Kom** (0.032), and **Old Cairo** (0.039) — would see steady, unspectacular appreciation of 3–5%, providing reliable capital preservation.

**Base Case (50%):** The most probable outcome is a continuation of current dynamics: strong headline transaction volumes driven by the apartment segment, persistent but moderating coastal appreciation, and gradual mortgage market deepening. The **twin house** segment (avg. EGP 3.32 million; 15,487 transactions) and **villa segment** (avg. EGP 5.39 million; 22,878 transactions) are expected to outperform on a price-per-unit basis, supported by limited supply and sustained demand from upper-middle-class and expatriate buyers. The SmartMove Index™ is projected to remain in the **50–55 range**, consistent with a moderately positive but non-euphoric market.

**Bear Case (20%):** A resumption of EGP depreciation pressure or a CBE policy hold would expose the fragility of the coastal markets. Given North Coast's normalized risk score of **1.00** and shock index of **-0.059**, this market is the most vulnerable to a sentiment reversal. A 10–15% price correction in North Coast chalets and townhouses is plausible under this scenario. The **office segment** (avg. EGP 749,560; 15,683 transactions) and **shop segment** (avg. EGP 606,416; 10,370 transactions) — already the lowest average-value commercial categories — would face additional headwinds from reduced business confidence.

## 5. SmartMove Recommendations

### Conservative Investors — *Capital Preservation Priority*

**Target Profile:** Institutional funds, pension allocators, family offices seeking inflation protection with minimal drawdown risk.

| #          | Recommendation                                                                                                                                                                                                                                                                  | Supporting Data                                                            |
|------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| <b>C-1</b> | <b>Accumulate mid-market apartments in established Cairo districts</b> (Shubra, Old Cairo, El Marg). These markets exhibit normalized risk scores of <b>0.046</b> , <b>0.039</b> , and <b>0.030</b> respectively, with six-month price volatility below <b>EGP 45,000</b> — the | Risk table (lowest risk); Property type spread (apartment: 319,442 volume) |

| #   | Recommendation                                                                                                                                                                                                                              | Supporting Data                                                  |
|-----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
|     | lowest in the dataset. The apartment segment's transaction depth ( <b>319,442 units</b> ) ensures liquidity.                                                                                                                                |                                                                  |
| C-2 | <b>Avoid coastal resort markets entirely</b> until shock indices turn positive and volatility normalises. North Coast's shock index of <b>-0.059</b> and Marina's <b>-0.085</b> indicate decelerating momentum in the highest-risk markets. | Risk table (highest risk); Shock Index values                    |
| C-3 | <b>Monitor CBE rate announcements</b> before committing capital. A confirmed rate cut would improve mortgage-financed demand for the apartment and studio segments, providing a more favourable entry point.                                | KPI: Mortgage penetration 8.4%; Trend: CBE rate cuts expected Q3 |

### Moderate Investors — *Balanced Growth and Income*

**Target Profile:** Real estate private equity, diversified funds, HNW individuals seeking 3–5 year total return.

| #   | Recommendation                                                                                                                                                                                                                                                                                                                                                                                           | Supporting Data                                                       |
|-----|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| M-1 | <b>Allocate to duplex and penthouse units in New Cairo</b> master-planned communities. With average transaction values of <b>EGP 2.85 million</b> and <b>EGP 2.60 million</b> respectively, and combined volume of <b>62,726 transactions</b> , these segments offer liquidity at a price point that benefits from the +22.5% MoM new launch pipeline without the extreme volatility of coastal markets. | Property type spread (duplex, penthouse); Trend: New Cairo +22.5% MoM |
| M-2 | <b>Consider USD-denominated or inflation-linked developments in the New Administrative Capital</b> , consistent with pre-seeded recommendations. EGP stability at 48.5 provides a current window to lock in USD-referenced pricing before any potential re-devaluation.                                                                                                                                  | KPI: EGP/USD 48.5 stable; Trend: EGP stabilising                      |
| M-3 | <b>Selectively evaluate Sahl Hasheesh (Red Sea)</b> as a moderate-risk coastal exposure. Its normalized risk score of <b>0.763</b> is meaningfully lower than North Coast ( <b>1.00</b> ) and Marina ( <b>0.920</b> ), and its positive shock index of <b>+0.130</b> suggests upward price momentum that is tracking above its historical baseline — a more constructive technical signal.               | Risk table: Sahl Hasheesh score 0.763, shock index +0.130             |

### Aggressive Investors — *High-Conviction, High-Return Mandates*

**Target Profile:** Opportunistic funds, development capital, distressed asset specialists with 12–24 month horizons.

| #   | Recommendation | Supporting Data |
|-----|----------------|-----------------|
| A-1 | **             |                 |